

Hit films are more than just a good story, attractive actors and special effects: There is an enormous degree of serendipity and good fortune that turns a good movie into a bona fide hit. The same can be said about every complex human activity where the outcome is unknown until years in the future, from marriage to careers to elections to investment portfolios.

We too easily mistake randomness for skill. We imagine we see the *future* when we hardly understand *today*. We readily convince ourselves we are in control of our own destinies, when nothing could be further from the truth.

Recognizing your own ignorance is an advantage. Most of Wall Street hates this fact.



Professor Robert H. Frank teaches at Cornell's Johnson Graduate School of Management. His economics textbook, co-authored with former Federal Reserve Chairman Ben Bernanke, is widely used in colleges. He also wrote *Success and Luck: Good Fortune and the Myth of Meritocracy*,¹⁶ which analyzes the impact of random chance on success.

Successful people tend to credit their own skill, hard work, and intelligence for their fortunate outcomes. But those are mere table stakes—skill, hard work, and intelligence are what you need merely to enter the arena. They are not guarantees of success. Frank observes that for every big winner, there are scores of people just as skilled, hard-working, and intelligent who came in behind.¹⁷ The lack of a lucky break can be the difference between wild success and a near miss (or worse).

When it comes to luck, perhaps the most insightful person in the world is Michael J. Mauboussin, adjunct professor of finance at Columbia Business School and Head of Consilient Research at Counterpoint Global (Morgan Stanley). The “paradox of skill” is explained in his book *The Success Equation: Untangling Skill and Luck in Business, Sports, and Investing*.¹⁸ Mauboussin writes that as a field becomes more crowded with talented, skillful players, the role of luck becomes ever more important. When